

Does Sentiment Predict Consumption Growth of Indian Households?

Abstract

Leveraging the extensive cross-sectional heterogeneity of the Consumer Pyramid Household Survey (CPHS) - a comprehensive longitudinal dataset representative of the Indian economy - this paper investigates the predictive power of household sentiments on consumption growth through an Euler equation framework. We select India for our analysis due to its significantly greater cross-sectional heterogeneity with richer information content compared to developed countries. We demonstrate that household sentiments, explained by geographical location, income level, education attainment, and different demographic characteristics, exhibit stronger predictive power on consumption growth than raw sentiment measures themselves. The resulting excess sensitivity of consumption to sentiments represents a violation of the rational expectations-based Permanent Income/Life Cycle Hypothesis for Indian households. It indicates that households' sentiments regarding future financial positions and business conditions should be appropriately incorporated when forecasting household consumption, and overall business cycle dynamics of India. We also argue that, consistent with pre-pandemic patterns, sentiments should remain crucial for business cycle forecasting in post-pandemic periods, even though COVID-19 has fundamentally altered spending patterns and their underlying determinants for Indian households. Our results broadly parallel evidence from developed economies, contributing to the broader literature on sentiment-driven consumption and business cycle dynamics.

Keywords: Consumption, Consumer Sentiments, Forecasting, Permanent Income Hypothesis, CPHS

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